Global Artificial Intelligence Policy and Regulatory Architecture (2025–2026): Strategic Competition, Regulatory Realignment, and Sovereign Compute

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Key Takeaways

- **United States:** Federal policy shifted from safety mandates toward infrastructure, industrial strategy, and preemption of state AI laws[1,2]. Congress did enact the TAKE IT DOWN Act, a targeted rule on non-consensual synthetic imagery[3].
- **U.S. states:** California, Colorado, and Texas each took a different approach, covering frontier-model transparency, notice and human review for automated decisions, and targeted prohibitions on harmful AI uses[4–6]. In September 2026, California also enacted rules on companion chatbots used by children and on student data in education technology[71,74].
- **European Union:** The AI Act is being enforced in phases[7], and the Digital Omnibus on AI recalibrated high-risk compliance timelines into late 2027 and 2028[8].
- **Asia-Pacific:** South Korea paired its AI Basic Act with a one-year grace period on fines[9]. Japan relies on a promotion-focused law and soft guidance[10,11]. China regulates through targeted administrative measures and standards rather than a single AI statute[12–14].
- **Compute is policy:** U.S. chip export controls, which shifted in January 2026 toward case-by-case licensing of some accelerators bound for China, and energy and data-center permitting are now central instruments of AI governance[20,23].
- **Multilateral coordination weakened:** The United States and United Kingdom did not sign the Paris AI Action Summit declaration in February 2025, and no single global framework has emerged[15,16].

Executive Summary

The global artificial intelligence policy environment between 2025 and 2026 underwent a decisive structural transformation, marking the end of the post-2022 phase of speculative existential-risk declarations, non-binding safety pledges, and horizontal multilateral consensus. In its place, sovereign governments established an operationalized, hard-edged paradigm driven by industrial competitiveness, national security imperatives, and energy infrastructure planning. Rather than converging on a single international governance architecture, the

regulatory ecosystem fragmented into competing regional regimes designed to balance commercial acceleration against societal and systemic exposure.

In the United States, federal policy executed a profound pivot away from horizontal safety mandates, repealing prior executive frameworks in favor of a market-driven industrial posture centered on physical infrastructure deregulation, baseload energy mobilization, and an aggressive push to preempt state-level statutes[1,2]. While federal executive actions dismantled administrative barriers and declined to establish mandatory model licensing, bipartisan federal legislation simultaneously established enforceable criminal and platform liabilities for non-consensual synthetic media[3]. Conversely, individual states such as California, Colorado, and Texas took distinct approaches spanning frontier-model transparency and incident reporting (California), notice and human-review rights for automated decisions (Colorado), and targeted prohibitions on harmful AI uses (Texas)[4–6]. In September 2026, California also enacted rules on companion chatbots used by children and on student data in education technology[71,74].

Across the Atlantic, the European Union moved from legislative deliberation into active statutory enforcement of Regulation (EU) 2024/1689 (the EU AI Act), initiating prohibitions against unacceptable-risk algorithmic systems and implementing technical governance rules for general-purpose AI (GPAI) foundation models[7]. To reconcile comprehensive regulatory oversight with lagging industrial competitiveness, the European Commission introduced the Digital Omnibus on AI, recalibrating high-risk compliance timelines into late 2027 and 2028 while expanding the supervisory role of the AI Office[8].

In the Asia-Pacific region, statutory models reflected localized economic priorities. South Korea enacted a comprehensive horizontal AI framework through its AI Basic Act, pairing high-impact systemic risk management with a one-year grace period on fines to preserve commercial dynamism[9]. Japan codified its agile, promotional governance architecture through the AI Promotion Act of 2025, rejecting administrative penalties in favor of Prime Ministerial institutional leadership and iterative soft-law guidelines addressing AI agents and intellectual property[10,11]. Meanwhile, China deepened its targeted, administrative approach by issuing a voluntary national standard on training-data security, requiring labels on AI-generated content, and amending its Cybersecurity Law, all without adopting an omnibus horizontal statute[12–14].

These jurisdictional realignments were accompanied by a deepening multilateral schism, demonstrated at the February 2025 Paris AI Action Summit where the United States and the United Kingdom broke from international declarations to prioritize domestic compute buildouts and sovereign security autonomy[15,16]. Concurrently, intellectual property authorities clarified the strict statutory boundaries of human authorship while courts and the Copyright Office treated fair use for commercial training as a case-by-case question[17–19]. As U.S. export policy for advanced chips shifted in January 2026 toward case-by-case licensing of some accelerators bound for China, physical compute access remained a primary de facto instrument of global AI governance[20]. The global AI policy landscape in 2026 functions not as a

harmonious normative structure, but as a complex matrix of jurisdictional trade-offs, industrial competition, and escalating compliance surfaces.

United States AI Policy: Executive Deregulation, Preemption Disputes, and Targeted Federal Legislation

Executive Realignment and the Industrial Strategy of Dominance

United States federal AI policy experienced an institutional restructuring following the executive transition in January 2025. On January 20, 2025, President Donald J. Trump formally issued Executive Order 14148, revoking Executive Order 14110 ("Safe, Secure, and Trustworthy Development and Use of Artificial Intelligence") and disassembling the interagency reporting thresholds, algorithmic discrimination frameworks, and National Institute of Standards and Technology (NIST) oversight directives established under the previous administration[1]. This rescission marked an intentional departure from precautionary safety oversight toward an aggressive, supply-side strategy centered on technological dominance and administrative deregulation[21].

The architectural foundation of this revised posture was articulated through Executive Order 14179 ("Removing Barriers to American Leadership in Artificial Intelligence"), signed on January 23, 2025, which tasked the Special Advisor for AI and Crypto and the Assistant to the President for Science and Technology with formulating an unconstrained national competitive plan[1]. The order also directed federal agencies to review actions taken under the revoked Biden order and to suspend, revise, or rescind those inconsistent with the new policy[1].

In July 2025, the White House published *America's AI Action Plan*, framing the advancement of artificial intelligence as a national security and economic priority[21]. The plan organized federal efforts across three structural pillars: accelerating private-sector innovation, expanding domestic energy and computing infrastructure, and asserting American leadership in international technological diplomacy[21,22]. The plan directed NIST to revise its voluntary AI Risk Management Framework to remove references to misinformation, diversity, equity, and inclusion, and climate change[21]. A companion executive order, "Preventing Woke AI in the Federal Government," separately directed that federal agencies procure only large language models (LLMs) that meet principles of ideological neutrality and truthfulness, with Office of Management and Budget guidance to follow[22].

Federal policy shifted toward addressing compute and physical grid limitations. Executive Order 14318, issued in July 2025 under the title "Accelerating Federal Permitting of Data Center Infrastructure," recognized energy availability as the binding constraint on frontier capability advancement[23]. The order streamlined environmental review mechanisms under the National Environmental Policy Act, directed the Environmental Protection Agency to modify Clean Air

Act and Clean Water Act permitting regulations, and extended FAST-41 coverage to large-scale data center facilities with capital expenditure commitments of at least $500 million or incremental electrical load above 100 megawatts[23]. This was complemented in November 2025 by Executive Order 14363, "Launching the Genesis Mission," which mobilized the Department of Energy's national laboratory network to provide compute access to private developers, executing formal memorandums of understanding with 24 industry and academic partners[24]. To address consumer concerns over rising power demand, the administration issued a proclamation on March 4, 2026 establishing a voluntary Ratepayer Protection Pledge, under which participating companies commit to build, bring, or buy new generation and to pay for the grid upgrades their facilities require[25].

The federal deregulatory perimeter was solidified on June 2, 2026, when the White House signed the Executive Order on "Promoting Advanced Artificial Intelligence Innovation and Security"[26]. Departing from earlier broad governance drafts, this order focused narrowly on national security and cybersecurity applications while omitting consumer protection, data privacy, and algorithmic fairness requirements[26]. The order also states that nothing in it authorizes any agency to impose a mandatory licensing, preclearance, or permitting requirement on private AI model development or distribution[26]. Rather than imposing top-down mandates, the order established a voluntary clearinghouse framework allowing developers to grant national security agencies early access to covered models for up to 30 days to conduct cybersecurity benchmarking, while directing the Attorney General to prioritize existing criminal statutes against AI-enabled crime[26].

The Federal-State Preemption Conflict

As federal agencies withdrew from affirmative regulatory intervention, state legislatures expanded their own statutory oversight, creating acute constitutional and jurisdictional friction[2]. On December 11, 2025, the White House issued Executive Order 14365, "Ensuring a National Policy Framework for Artificial Intelligence," establishing a Department of Justice AI Litigation Task Force and a Commerce Department review of state AI laws[2]. The order instructed the Department of Justice to challenge state AI statutes on grounds that include the Commerce Clause, directed Commerce to identify onerous state laws by March 11, 2026, and conditioned some federal funding, including $42 billion in Broadband Equity, Access, and Deployment (BEAD) funds and discretionary grants, on state regulatory alignment. It carved out state laws on child safety, data-center infrastructure, and state procurement[2].

This preemption strategy was formalized on March 20, 2026, when the White House published its *National AI Legislative Framework*, containing comprehensive recommendations for congressional action[27]. The framework urged Congress to enact statutory preemption of state AI laws that impose undue burdens, including laws regulating AI models based on hypothetical future hazards, penalizing developers for third-party unlawful downstream use, or restricting algorithmic processing for actions that would be lawful if performed manually, while leaving states their generally applicable laws on consumer protection, fraud, and child safety and their

authority over their own procurement and infrastructure siting[27,28]. State officials pushed back: on December 2, 2025, a bipartisan coalition of 35 state attorneys general and the attorney general of the District of Columbia wrote to congressional leaders opposing a federal ban on state AI laws[29]. Efforts to impose statutory preemption through Congress faced legislative resistance; a ten-year federal moratorium on state and local AI laws, which the House included in its May 2025 budget reconciliation bill, was removed in the Senate by a 99–1 vote on July 1, 2025[30].

Enactment and Implementation of the TAKE IT DOWN Act

Despite deep ideological division over frontier safety governance, the 119th Congress enacted targeted federal legislation addressing non-consensual synthetic media[3]. Introduced by Senators Ted Cruz and Amy Klobuchar and sponsored in the House by Representative María Elvira Salazar, the **Tools to Address Known Exploitation by Immobilizing Technological Deepfakes on Websites and Networks Act** (TAKE IT DOWN Act, S. 146) passed the Senate by unanimous consent in February 2025, cleared the House by a vote of 409–2 in April, and was signed into law by President Trump on May 19, 2025[3,31].

The Act criminalizes the knowing interstate distribution of, or threat to distribute, non-consensual intimate imagery (NCII), explicitly incorporating computer-generated and AI-synthesized depictions that realistically portray an identifiable individual[3,32]. To preserve constitutional standards under the First Amendment, the statute applies an objective reasonable-person test to determine whether synthetic imagery realistically depicts an actual individual[3].

Operationally, the Act places affirmative responsibilities on covered online platforms that host user-generated content[3]. Within one year of enactment—taking full legal effect on May 19, 2026—covered platforms were required to operationalize conspicuous, easy-to-use notice-and-removal mechanisms[3,32]. Upon receiving a valid written takedown request from an affected individual or their authorized representative, platforms must remove the offending visual depiction within 48 hours and make reasonable commercial efforts to locate and purge identical copies across their infrastructure[3].

Enforcement authority is vested in the Federal Trade Commission, which treats non-compliance as an unfair or deceptive act or practice under Section 18 of the Federal Trade Commission Act, exposing delinquent platforms to civil penalties of up to $53,088 per violation[3,32]. To incentivize rapid content remediation, the law provides a liability shield protecting platforms from civil actions for removing content in good-faith reliance on a takedown notice[3]. The TAKE IT DOWN Act contains no preemption clause over state laws, enabling state criminal codes, tort remedies, and right-of-publicity claims to function concurrently alongside federal enforcement[3].

State-Level Statutory Proliferation: California, Colorado, and Texas

In response to the federal government's deregulatory approach, several states enacted comprehensive or risk-specific AI statutes:

In California, following the executive veto of Senate Bill 1047 in late 2024, the legislature passed Senate Bill 53, which Governor Newsom signed on September 29, 2025. The law requires large frontier developers (those with more than $500 million in annual revenue) to publish a frontier AI framework and transparency reports, requires critical safety incidents to be reported to the California Office of Emergency Services within 15 days (24 hours if there is an imminent danger), protects whistleblowers, and authorizes civil penalties of up to $1 million per violation[4]. On September 18, 2026, Governor Gavin Newsom signed an executive order directing state agencies to study independent oversight options and technical feasibility standards, including the feasibility of a kill-switch mechanism for autonomous model deployments, with recommendations due November 16, 2026. The order imposes no obligations on developers[33,34].

Colorado adopted an alternative, market-facing approach to automated decision-making[5]. On May 14, 2026, Governor Jared Polis signed **Senate Bill 26-189**, which repealed and reenacted key portions of the 2024 Colorado Artificial Intelligence Act (CAIA) before its scheduled enforcement[5]. The amended statute narrows the law's scope to covered automated decision-making tools that materially influence consequential decisions and centers it on disclosure and consumer-rights duties[5]. Under SB 26-189, deployers must give consumers clear notice before using covered automated decision-making technology in consequential decisions in areas such as employment, education, credit, housing, insurance, healthcare, and essential public services. The law also requires post-adverse-outcome information within 30 days, opportunities for correction and human review, and three-year recordkeeping, and it applies to decisions made on or after January 1, 2027. The Attorney General enforces it exclusively, with a 60-day cure period[5].

Texas enacted targeted algorithmic governance legislation through **House Bill 149** (the Texas Responsible AI Governance Act, TRAIGA)[6]. Effective January 1, 2026, HB 149 prohibits developing or deploying AI for specified harmful purposes, including inciting self-harm or crime, producing child sexual abuse material and sexually explicit deepfakes, and intentional unlawful discrimination. It requires disclosure to consumers only from state agencies and health care providers, imposes no impact assessment duty on private companies, and is enforced exclusively by the Attorney General, with a regulatory sandbox for developers[6].

U.S. Federal and State Regulatory Action (2025–2026)	**Date Enacted / Issued**	**Primary Governance Scope**	**Enforcement Mechanism**

Executive Order 14148 / 14179[1]	January 2025	Deregulation, revocation of EO 14110, commercial acceleration	Executive agency review; interagency deregulatory directives
TAKE IT DOWN Act (S. 146)[3]	May 19, 2025 (platform duties effective May 19, 2026)	Criminalization of synthetic NCII; mandatory 48-hour platform takedown	FTC Section 18 civil penalties; federal criminal prosecution
Executive Order 14318[23]	July 2025	Data center infrastructure; environmental review acceleration	FAST-41 federal permitting dashboard; EPA administrative rules
Executive Order 14365[2]	December 11, 2025	National AI policy framework; challenges to state AI laws	DOJ constitutional challenges; federal grant conditioning
Texas HB 149 (TRAIGA)[6]	January 1, 2026	Prohibits specific harmful AI uses; disclosures by state agencies and health care providers	Texas Attorney General civil investigation and enforcement
White House AI Legislative Framework[27]	March 20, 2026	Congressional guidance: preemption of state laws that impose undue burdens on AI development	Proposed federal statutory standards
Colorado SB 26-189[5]	May 14, 2026	Amends CAIA; consumer notice, correction, and human review for covered automated decisions (effective January 1, 2027)	Colorado Attorney General enforcement

Executive Order on AI Innovation & Security[26]	June 2, 2026	Disclaims mandatory federal model licensing; voluntary cybersecurity early access	Voluntary early-access testing; existing criminal statutes
California Frontier AI Executive Order[33]	September 18, 2026	Independent oversight feasibility study; autonomous safety standards evaluation	None; study with recommendations due November 16, 2026

European Union: Enforcement Milestones and Recalibration of the AI Act

Phased Statutory Activation: Prohibitions, Literacy, and GPAI Models

The European Union's Regulation (EU) 2024/1689 (the EU AI Act), which formally entered into force on August 1, 2024, transitioned into substantive cross-border enforcement across 2025 and 2026[7]. The Act represents the world's most intricate horizontal product-safety regulation applied to artificial intelligence, establishing extraterritorial compliance obligations for any entity placing AI models or systems onto the EU market or whose system outputs are utilized within the Union[7].

The initial phase of mandatory enforcement commenced on **February 2, 2025**, with the operationalization of Chapter I and Chapter II, establishing an immediate ban on AI systems categorized as posing "unacceptable risk" under Article 5[7]. The Act prohibits eight specific practices: subliminal and manipulative techniques designed to distort human behavior and impair conscious decision-making; systems exploiting vulnerabilities associated with age, disability, or socio-economic distress; public-authority social scoring systems; predictive policing models profiling individuals for criminal offenses based solely on behavioral traits; untargeted scraping of internet or CCTV facial imagery for biometric databases; emotion recognition in employment and educational contexts (excluding narrow medical or safety applications); biometric categorization inferring sensitive attributes such as political views, religious beliefs, or sexual orientation; and real-time remote biometric identification in public spaces by law enforcement, outside strictly judicial-authorized counter-terrorism and kidnapping emergencies[7].

Simultaneously, Article 4 took effect, obligating commercial providers and deployers of all AI systems to demonstrate institutional "AI literacy" across their workforces[7]. Organizations were

required to train operational personnel to understand model capabilities, operational limitations, and potential fundamental rights risks, supported by European Commission questions-and-answers guidance published in May 2025[35].

The second regulatory milestone activated on **August 2, 2025**, when governance obligations for General-Purpose AI (GPAI) models entered into force under Chapter V (Articles 51 through 56)[7]. Foundation model developers releasing new architectures onto the European market were required to maintain technical documentation, implement copyright compliance strategies honoring Union IP law, and publish detailed summaries of data used for model training[7]. Models evaluated as carrying "systemic risk"—defined by a cumulative compute threshold exceeding 10^{25} FLOPs, or designated as such by Commission decision—became subject to advanced mandates[7]. These include model evaluations with adversarial testing, assessment and mitigation of systemic risks, cybersecurity protections, and the reporting of serious incidents to the European AI Office without undue delay[7]. To support these obligations, the European AI Office published the official *GPAI Code of Practice* on July 10, 2025, establishing compliance benchmarks for watermarking, data logging, and model evaluation protocols[36].

On **August 2, 2026**, general transparency mandates took effect under Article 50[7,8]. Deployers of conversational AI, voice bots, and automated customer agents were legally required to inform users that they are interacting with an artificial system, while providers of generative models were mandated to ensure that synthetic video, audio, image, and text content is marked in a machine-readable format that enables external detection[7]. Under revised implementation schedules, member states are required to establish operational AI regulatory sandboxes by **August 2, 2027**, to support SMEs in testing emerging systems under regulatory supervision[8].

Implementation Date	**EU AI Act Statutory Scope**	**Applicable Articles**	**Enforcement Authority**
August 1, 2024[7]	Entry into force of Regulation (EU) 2024/1689	General baseline provisions	European Commission
February 2, 2025[7]	Prohibition of unacceptable-risk AI practices; mandatory AI literacy for personnel	Article 4 (Literacy), Article 5 (Prohibited practices)	National Market Surveillance Authorities

July 10, 2025[36]	Publication of the General Purpose AI Code of Practice	Technical compliance benchmarks for GPAI providers	European AI Office
August 2, 2025[7]	General Purpose AI (GPAI) governance framework; systemic risk obligations; penalties activation	Articles 51–56 (GPAI), Chapter VII (Governance), Chapter XII (Penalties)	European AI Office; National Regulators
August 2, 2026[7,8]	Article 50 transparency requirements; deepfake marking obligations	Article 50 (Transparency)	European AI Office; National Regulators
December 2, 2026[8,37]	Digital Omnibus: Accelerated ban on non-consensual synthetic intimate content	Article 5 amendment via Regulation (EU) 2026/1744	National Market Surveillance Authorities
December 2, 2027[8]	Digital Omnibus: Extended compliance for Annex III standalone high-risk AI systems	Articles 6(2), 9–15 (Risk management, data governance, automatic logging, FRIA)	National Market Surveillance Authorities; AI Office
August 2, 2028[8]	Digital Omnibus: High-risk systems embedded as safety components in Annex I products	Article 6(1) and Annex I (Medical devices, aviation, machinery)	Notified Bodies; Sectoral Product Regulators

The Digital Omnibus on AI and Regulatory Recalibration

Industry groups and several member states raised concerns about the cost and complexity of implementing the Act's high-risk requirements[8]. In response, the European Parliament and Council enacted the **Digital Omnibus on AI** (Regulation (EU) 2026/1744, commonly designated

the AI Omnibus), recalibrating the implementation calendar to ensure regulatory viability without diluting core protections[8,37].

The Omnibus preserved the core risk-based methodology of the Act while restructuring key implementation dates[8]. For standalone high-risk systems under Annex III—covering biometric processing, critical infrastructure management, educational admissions, employment recruiting, credit scoring, and law enforcement support—the original enforcement deadline of August 2, 2026, was postponed to **December 2, 2027**[8]. This window provided enterprises the timeline necessary to build compliant data governance frameworks, automatic event logging systems (Art. 12), human oversight interfaces (Art. 14), and Fundamental Rights Impact Assessments (Art. 27)[7]. For high-risk systems integrated as safety components into regulated physical products under Annex I—such as medical diagnostics, aerospace systems, and heavy industrial machinery—the Omnibus established a final enforcement target of **August 2, 2028**[8].

Concurrently, the Omnibus introduced targeted emergency measures[8]. Addressing the rapid escalation of automated abuse, the measure advanced a strict prohibition on non-consensual synthetic intimate imagery and child sexual abuse material, establishing an enforcement date of **December 2, 2026**[8]. On the same date, generative AI systems placed on the European market before August 2, 2026 must ensure that their outputs are machine-readable and detectable as synthetic media[8]. The Omnibus also expanded the supervisory authority of the European AI Office to AI systems built on general-purpose models from the same provider and to AI embedded in very large online platforms and search engines[8].

Penalties under the AI Act are tiered by the seriousness of the infringement[7]. Infringements of prohibited practices under Article 5 trigger administrative fines of up to €35 million or 7% of total worldwide annual turnover, whichever is higher[7]. Non-compliance with high-risk system obligations or GPAI governance rules carries fines of up to €15 million or 3% of global revenue, while the submission of misleading documentation to regulatory authorities carries a €7.5 million or 1% ceiling[7].

Comparative International Governance: Asia-Pacific Regimes and the United Kingdom

Jurisdiction	Primary Statutory Basis	Regulatory Philosophy	Primary Enforcement Authority	Maximum Statutory Penalty	Extraterritorial Application
United	TAKE IT	Market-driv	Federal	Unfair/dece	Enforces

States[1–3,26]	DOWN Act (2025); Executive Orders 14179, 14365, June 2026 EO	en deregulatio n; targeted federal consumer protection; voluntary frontier oversight	Trade Commissio n (FTC); Departmen t of Justice; sector regulators	ptive practices statutory fines; federal criminal penalties	against online platforms serving U.S. users regardless of domicile
European Union[7,8]	EU Artificial Intelligence Act (Regulation 2024/1689); Digital Omnibus (2026/1744)	Horizontal, risk-tiered precautiona ry regime; comprehen sive product safety framework	European AI Office; National Market Surveillance Authorities	Greater of €35M or 7% of worldwide annual turnover	Covers any model or deployer whose outputs are utilized within the EU
United Kingdom[38–41]	Sectoral law; Data (Use and Access) Act 2025; Cyber Security & Resilience Bill	Pro-innovati on, decentraliz ed, sector-spe cific oversight; non-statuto ry principles	Sector regulators (ICO, CMA, FCA, Ofcom); AI Security Institute	£17.5M / 4% global turnover (ICO); 10% turnover (CMA)	Linked to underlying data protection and consumer-protection statutes
China[12,14,42]	Interim Measures on Generative AI; Cybersecuri ty Law; GB/T 45652-2025	Algorithmic security; administrati ve content control; state-direct ed technologic al developme nt	Cyberspace Administrati on of China (CAC); MIIT; MOST	Service suspension, site and app shutdown, administrati ve fines	Covers domestic deployment and foreign systems accessible to Chinese users

South Korea[9,43]	AI Basic Act (promulgated Jan 2025, in effect Jan 22, 2026)	Dual-track: statutory promotion combined with procedural "High-Impact AI" risk governance	Ministry of Science and ICT (MSIT); National AI Committee	KRW 30 million (fixed cap per violation); corrective orders	Covers any operator whose AI impacts Korean users or domestic markets
Japan[10,11]	AI Promotion Act (Act No. 53 of 2025, in effect Sept 1, 2025)	Agile governance; soft-law guidance; economic revitalization and voluntary business cooperation	AI Strategic Headquarters (Cabinet); METI; MIC	No direct financial penalties; administrative guidance and disclosure	Soft-law IP and business codes extend to foreign services targeting Japan

United Kingdom: Rejection of Omnibus Legislation and Pivot to National Security

The United Kingdom broke sharply with the European Union's omnibus legislative path[44]. Despite expectations that the Labour government would introduce a statutory AI Bill to make pre-deployment model testing mandatory for leading frontier developers, the legislative docket in 2025 and 2026 contained no comprehensive AI act[44]. In the King's Speech of May 2026, artificial intelligence was addressed not through specialized legislation, but through broad growth measures and updates to existing administrative frameworks[44].

The UK government anchored its policy in the **AI Opportunities Action Plan**, published on January 13, 2025, and authored by technology entrepreneur Matt Clifford[45]. Accepting 48 of the report's 50 recommendations, Prime Minister Keir Starmer oriented national strategy around infrastructure expansion, public sector procurement, and commercial compute access[45]. The strategy designated streamlined "AI Growth Zones" to accelerate data center planning approvals and committed public capital to expand public computing power by twenty times by 2030[45].

On February 14, 2025, the Department for Science, Innovation and Technology (DSIT) formally restructured and rebranded the AI Safety Institute as the **AI Security Institute**[46]. This change

reflected a strategic decision by DSIT Secretary Peter Kyle to focus state evaluation resources on severe security risks, such as the development of chemical and biological weapons, cyber-attacks, and crimes such as fraud and child sexual abuse[46]. The government stated that the Institute would not focus on bias or freedom of speech. It is a research body without statutory powers, and it relies on the voluntary cooperation of frontier developers for access to their models[46,47].

The broader UK regulatory framework maintained its decentralized, regulator-led architecture[38]. The Information Commissioner's Office (ICO), the Competition and Markets Authority (CMA), and the Financial Conduct Authority (FCA) continued to oversee AI systems within their existing statutory remits, guided by five non-statutory principles: safety, security, and robustness; appropriate transparency and explainability; fairness; accountability and governance; and contestability and redress[38]. To address infrastructure vulnerabilities without new AI-specific licensing, the government introduced the Cyber Security and Resilience Bill in Parliament in November 2025. As introduced, the bill would let the ICO designate certain suppliers to essential services as critical suppliers and would set maximum penalties for the most serious cyber security failures at the higher of £17 million or 4% of global turnover[41].

South Korea: The AI Basic Act and High-Impact Governance

South Korea established a distinct governance structure by enacting the **Framework Act on the Development of Artificial Intelligence and Establishment of Trust** (widely designated the **AI Basic Act**), which was passed by the National Assembly on December 26, 2024, signed into law on January 21, 2025, and took full effect on January 22, 2026[9,43]. South Korea thereby became the first nation in Asia to implement an economy-wide AI statute, consolidating nineteen separate legislative bills into a unified national framework[9].

The AI Basic Act operates along a dual-track strategy, balancing aggressive state promotion with structured obligations for high-impact models[9]:

Under its promotional mandate, the Act established the **National AI Committee** under the direct authority of the President, alongside the **AI Safety Research Institute**. The *Republic of Korea AI Action Plan 2026–2028*, approved by the National AI Strategy Committee on February 25, 2026, serves as the country's Basic Plan for AI[48]. The plan details 99 execution tasks aimed at placing the country among the world's top AI powers[48].

Under its regulatory framework, Article 2(4) establishes the classification of "High-Impact AI," defining it as systems deployed across critical domains—including energy, healthcare, nuclear safety, water supply, transportation, biometric analysis for criminal investigation, hiring and loan decisions, public-agency decisions, and the evaluation of students in early childhood, elementary, and secondary education—where automated decisions materially impact human life, physical safety, or fundamental constitutional rights[43]. Under Article 34, operators of high-impact systems must establish and operate a risk management plan, an explanation plan, and user protection measures, assign human oversight, and keep documentation of the safety

and reliability measures taken. Article 35 asks operators to endeavor to assess impacts on fundamental rights in advance but does not require it[43].

Under Article 31, the Act introduces transparency requirements for generative systems[43]. Operators must give advance notice to users that a service utilizes AI, and must label synthetic audio, video, or imagery that realistically mimics actual individuals or environments with both human-readable notices and machine-verifiable metadata[43]. Foreign developers without a domestic business presence are required under Article 36 to designate a Korean domestic representative if they exceed thresholds set by Presidential Decree, reported as annual worldwide revenue exceeding KRW 1 trillion (~$662 million USD), domestic AI service revenue exceeding KRW 10 billion (~$6.6 million USD), or more than one million daily Korean users[9,43].

Unlike the European Union's turnover-based penalties, South Korea adopted a proportional enforcement approach[43]. Direct administrative fines under Article 43 are capped at KRW 30 million (~$21,000 USD) per violation, applying strictly to failures regarding advance user notice, domestic agent appointment, or compliance with administrative corrective orders[43]. To prevent chilling industrial innovation, the Ministry of Science and ICT (MSIT) indicated a one-year grace period on fines, running from January 2026 to January 2027[9].

Japan: Promotional Statutory Architecture and Agile Soft Law

Japan codified its agile, promotional governance model through the National Diet's passage of the **Act on Promotion of Research, Development and Utilization of AI-Related Technologies** (AI Promotion Act, Act No. 53 of 2025), enacted in May 2025 and entering into full legal effect on September 1, 2025[10]. The statute takes a promotion-first, light-touch approach: it provides for no monetary penalties and relies on institutional steering and soft-law cooperation[10].

The Japanese model operates through three institutional mechanisms[10]:

The statute established the **Artificial Intelligence Strategic Headquarters** under the Cabinet, chaired directly by the Prime Minister and comprising the full Cabinet[10]. The Strategic Headquarters is empowered by Article 18 to draft and maintain the national AI Basic Plan[10]. The Cabinet adopted its first AI Basic Plan on December 23, 2025, and subsequently released the *Second Artificial Intelligence Basic Plan* in July 2026, which prioritized domestic compute manufacturing, domain-specific "vertical AI," and autonomous physical robotics[49].

Administrative expectations for the private sector are detailed in the *AI Guidelines for Business*, developed jointly by the Ministry of Economy, Trade and Industry (METI) and the Ministry of Internal Affairs and Communications (MIC)[11]. On March 31, 2026, METI and MIC released Version 1.2 of the Guidelines, defining the term "AI agent" for the first time and mentioning agentic AI in a footnote[11]. The guidelines remain non-binding soft law that businesses apply voluntarily[11].

On August 25, 2026, Japan's Intellectual Property Strategy Headquarters adopted the *Principles-Code for Protection of Intellectual Property and Transparency for the Appropriate Use of Generative AI*[50]. Functioning as a voluntary, opt-in framework, the code requests that generative developers—including foreign providers serving the Japanese market—publish an outline of their training processes, data types, and collection methods, and respond on request to rights holders' concerns about potentially infringing training data, without altering Japan's copyright law regarding non-consumptive computational data analysis[50].

China: Granular Administrative Controls and Data Security Specifications

China maintained a distinct regulatory approach, declining to enact a unified horizontal AI law in favor of granular administrative regulations and national technical standards[42]. Governance remained anchored in targeted regulations issued by the Cyberspace Administration of China (CAC) in collaboration with the Ministry of Industry and Information Technology (MIIT), including the *Interim Measures for the Management of Generative Artificial Intelligence Services*, the *Deep Synthesis Provisions*, and the *Algorithmic Recommendation Regulations*[42].

Regulatory activity between 2025 and 2026 centered on training-data security, AI-content labeling, and cybersecurity law[12–14]. In 2025, the Standardization Administration issued national voluntary standard **GB/T 45652-2025** (*Cybersecurity Technology – Security Specification for Generative Artificial Intelligence Pre-training and Fine-tuning Data*), establishing guidance for training set verification[12]. The standard provides recommendations for commercial developers to conduct provenance tracing, verify IP legality, filter illegal content, and perform voluntary security evaluations prior to public deployment[12].

China's AI-content labeling measures, together with a mandatory national labeling standard, took effect on September 1, 2025, requiring providers to label AI-generated content[13]. Developers releasing algorithmic systems possessing "public opinion properties or social mobilization capabilities" must submit model architectures, training corpuses, and security self-assessments to the CAC before commercial release[42]. On January 1, 2026, comprehensive amendments to China's Cybersecurity Law took effect, adding a dedicated article on AI (Article 20) that supports AI research and infrastructure while calling for risk monitoring, assessment, and safety supervision, and raising maximum fines to RMB 10 million, with authority to shut down offending websites and apps[14].

Multilateral Governance and Diplomatic Fragmentation

The Paris AI Action Summit: Diplomatic Schisms and Strategic Autonomy

The transition from voluntary safety consensus to geopolitical competition was on display at the **AI Action Summit**, convened by French President Emmanuel Macron at the Grand Palais in Paris on February 10–11, 2025[51]. Gathering over a thousand stakeholders from nearly a hundred countries, including international organizations and technology firms, the summit aimed to move beyond the narrow focus on catastrophic risks that characterized the 2023 Bletchley Park and 2024 Seoul summits toward broader questions of public interest, workforce transitions, environmental sustainability, and international governance[51].

The summit exposed clear diplomatic and ideological divisions between the major powers[16]. At the conclusion of the proceedings, France put forward the *Statement on Inclusive and Sustainable Artificial Intelligence for People and the Planet*, endorsing ethical constraints, multilateral capacity building, and environmental oversight[15]. While approximately sixty nations signed the document, the **United States** and the **United Kingdom** explicitly refused to endorse it[16].

U.S. Vice President JD Vance used his summit address to criticize European regulatory intervention, warning that excessive governance risked suffocating a transformative sector at its inception, while cautioning international leaders against technological partnerships with authoritarian states[52]. UK representatives similarly withheld endorsement; a spokesperson for Prime Minister Keir Starmer said the government would sign only initiatives that are in the UK's national interest[16].

The summit served as a platform for Europe to reassert its push for industrial autonomy[53]. European Commission President Ursula von der Leyen unveiled **InvestAI**, a €200 billion public-private investment initiative that included €20 billion dedicated to constructing AI gigafactories to host European sovereign compute clusters[53]. Concurrently, a coalition of 60 European enterprises launched the EU AI Champions Initiative, pledging €150 billion over five years for regional technology infrastructure, while President Macron announced about €109 billion in private investment for French AI, including a data center campus agreed with the United Arab Emirates and €20 billion in infrastructure investment from Canada's Brookfield[54]. Illustrating the growing integration of AI and defense, French developer Mistral AI and European defense-tech firm Helsing announced a joint partnership to build vision-language-action models for defense platforms[55].

Global Standards and Treaty Frameworks

Formal multilateral governance structures showed signs of institutional divergence during 2025 and 2026. In September 2026, the Council of Europe marked the second anniversary of opening for signature the **Framework Convention on Artificial Intelligence and Human Rights, Democracy and the Rule of Law** (CETS No. 225)[56]. The European Union ratified the convention on May 15, 2026. While celebrated as the first legally binding international treaty on AI governance, the instrument's reliance on broad principles and its explicit exemptions for national defense and sovereign military operations limited its ability to establish enforceable

cross-border liability for frontier developers.

At the United Nations, the implementation of the Global Digital Compact resulted in the opening of the first *Global Dialogue on AI Governance* in Geneva in July 2026, intended to give all UN member states and stakeholders a shared forum on AI governance[57]. The AI Impact Summit in New Delhi on February 18 and 19, 2026 had produced a declaration endorsed by 88 countries and organizations, including the United States, the United Kingdom, China, and France[58].

Concurrently, several members of the International Network of AI Safety Institutes shifted their focus toward national security. The UK AI Security Institute and the U.S. Center for AI Standards and Innovation (CAISI, the renamed U.S. AI Safety Institute at NIST) both reoriented their work toward national-security risks such as cybersecurity and biosecurity[46,59].

Core Policy Focus Areas Across the Technology Stack

The table below groups the main 2025–2026 instruments discussed in this report by the layer of the AI stack they regulate. The last column gives the Works cited entries behind each row.

Layer	Policy instrument	Works cited
Application layer	TAKE IT DOWN Act: 48-hour removal of non-consensual synthetic intimate imagery, enforced by the FTC	3, 32
	EU AI Act Article 50 and South Korea AI Basic Act Article 31: disclosure and labeling of AI interactions and synthetic media	7, 43
	California SB 243, SB 1119, and AB 1159: safeguards for minors who use companion chatbots, and limits on AI use of student data	69, 71, 74
	C2PA content provenance specification: a leading industry standard, not a legal mandate	63
Model and algorithmic layer	EU AI Act systemic-risk obligations for general-purpose models, triggered at 10^{25} FLOPs	7, 26
	California SB 53 (frontier AI frameworks and incident reporting) and the September 2026 executive order directing a study of oversight options	4, 33, 34

	U.S. Copyright Office: material generated wholly by AI is not eligible for copyright protection	17
	China GB/T 45652-2025: voluntary security standard for generative AI training data	12
Hardware and physical layer	BIS advanced computing export controls, including the January 2026 shift to case-by-case review for some chips bound for China	20
	BIS Entity List additions of PRC-linked entities in 2025	61
	Executive Order 14318: expedited federal permitting of data center infrastructure (FAST-41)	23
	Executive Order 14363 (Genesis Mission) and the voluntary Ratepayer Protection Pledge	24, 25

Frontier Safety, Autonomous Model Controls, and Incident Reporting

The regulatory boundary separating general software from frontier AI models consolidated around specific quantitative compute thresholds and autonomous capabilities[7,26]. The European Union maintained a compute threshold of 10^{25} total FLOPs as the statutory trigger for systemic-risk classification under Article 51 of the EU AI Act, requiring adversarial testing of the model, documented risk mitigation, and the reporting of serious incidents to the AI Office without undue delay[7]. In contrast, the United States federal government under the June 2026 Executive Order decoupled compute metrics from mandatory licensing, instituting an entirely voluntary framework under which frontier developers can submit pre-release models for federal cybersecurity benchmarking without exposing their corporate release schedules to government delays[26].

State-level authorities pursued more rigid statutory interventions[4]. California's SB 53 requires large frontier developers to publish safety frameworks and transparency reports and to report critical safety incidents to the state within 15 days. California's September 2026 Executive Order, a study directive, asked state agencies to assess four proposals: independent verification organizations for frontier labs, verified safety filings, the feasibility of a kill switch for autonomous model execution, and a broader definition of critical safety incidents, with recommendations due November 16, 2026[33,34]. The order itself imposes no obligations on developers and sets no binding standards[33]. Because the order only commissions a study, it has not by itself created a legal conflict with federal policy, which discourages state regimes that impose burdens on AI developers[2,27].

Intellectual Property, Authorship, and Data Ingestion Transparency

The legal intersection of generative AI and intellectual property reached major milestones in 2025 through comprehensive reports issued by the United States Copyright Office[60]:

On January 29, 2025, the Copyright Office published **Part 2 of its Report on Copyright and Artificial Intelligence**, titled *Copyrightability*[17]. The Register of Copyrights concluded that existing statutory law is adequate and that material generated wholly by artificial intelligence systems—regardless of the complexity or length of user prompts—is ineligible for copyright protection due to the absence of human authorship[17]. The Office clarified that copyright protection extends only to those perceptible expressive elements that are directly created, selected, or arranged by a human author, affirming that automated processing cannot substitute for original human conception[17].

On May 9, 2025, the Copyright Office released the pre-publication version of **Part 3 of its Report**, titled *Generative AI Training*[18]. The report evaluated the commercial scraping of copyrighted expressive works to train foundation models, analyzing fair use arguments under 17 U.S.C. § 107, concluding that some uses of copyrighted works for training will qualify as fair use while others will not, and noting potential market harms when models produce competing outputs[18]. Judicial developments further shaped the fair use doctrine in commercial training contexts, notably in landmark federal litigation such as *Bartz v. Anthropic PBC*, where the court held that training on lawfully acquired books was fair use but that building a central library from pirated copies was not, leading to a $1.5 billion class settlement that received final approval on July 20, 2026[19]. In *Kadrey v. Meta* (June 2025), another federal court granted summary judgment to Meta on the plaintiffs' market-harm theory while stating that its ruling was not a categorical endorsement of training on copyrighted works[19].

In parallel, international jurisdictions operationalized statutory training transparency requirements. Under Article 53 of the EU AI Act, general-purpose AI model providers must publish a sufficiently detailed summary of the content used to train their models and maintain a policy for complying with EU copyright law, providing content owners a technical and legal basis to identify unauthorized ingestion and pursue commercial licensing[7,36]. In Japan, the Intellectual Property Strategy Headquarters' August 2026 Principles-Code established a voluntary national code under which participating developers publish an outline of their training data while preserving Japan's statutory copyright flexibilities for non-consumptive computational data analysis[50].

Semiconductor Export Controls and Supply-Chain Containment

Hardware and compute restrictions emerged as a primary instrument of international technology containment[20]. The U.S. Department of Commerce's Bureau of Industry and Security (BIS) continued to use export controls on advanced computing items to limit adversary capabilities while shifting its license review policy for some chips in January 2026[20]:

The most consequential 2026 change eased rather than tightened policy for one product class[20]. On January 15, 2026, BIS issued a rule titled "Revision to License Review Policy for Advanced Computing Commodities"[20]. The rule moved exports of certain advanced accelerators, such as the Nvidia H200 and AMD MI325X, to China and Macau from a presumption of denial to case-by-case review, subject to conditions that include capping exports at 50 percent of the aggregate processing performance shipped to U.S. customers and third-party testing in the United States[20].

Entity List designations remained a second tool alongside chip license policy[61]. In 2025, BIS added dozens of PRC-linked entities to the Entity List, including a March 25 action that added 80 entities, at least 47 of them China-based[61].

In response, Chinese firms sought to build a domestic AI-chip ecosystem around Huawei's Ascend accelerators; in June 2025, Commerce Under Secretary Jeffrey Kessler told Congress that Huawei could make only about 200,000 Ascend chips that year, while acknowledging that China was catching up quickly[62].

Synthetic Media, Deepfake Liability, and Provenance Infrastructure

The policy response to synthetic media, impersonation fraud, and digital disinformation coalesced around content criminalization, platform takedown responsibilities, and machine-readable provenance standards[3,7].

1. **Direct Platform Liability:** The enforcement of the federal TAKE IT DOWN Act on May 19, 2026, established a statutory notice-and-removal mandate in the United States, exposing platforms to FTC financial penalties if they fail to remove verified non-consensual synthetic intimate imagery within 48 hours[3,32].
2. **Mandatory Algorithmic Disclosures:** Article 50 of the EU AI Act and Article 31 of the South Korean AI Basic Act established statutory obligations requiring deployers to inform consumers whenever they interact with an AI system, while mandating that realistic synthetic audiovisual media feature both clear human-readable notices and persistent, machine-detectable provenance watermarks[7,43].
3. **Cryptographic Provenance Adoption:** No jurisdiction mandates a single provenance standard, but the technical specification from the Coalition for Content Provenance and Authenticity (C2PA) became a leading industry option[63]. Enterprise developers and hardware manufacturers integrated C2PA cryptographic metadata into camera sensors, model inference pipelines, and media editing suites to help meet machine-readability expectations such as the EU's Article 50 marking requirement and to establish audit trails[7,63].

Students, Minors, and Companion Chatbots

Federal policy toward AI and young people has combined promotion with deference to the states. Executive Order 14277 (April 2025) established a White House Task Force on Artificial

Intelligence Education and directed the Department of Education to issue guidance on using federal grant funds for AI[64]. The Department's July 2025 guidance said formula and discretionary grant funds may support uses such as AI-enhanced tutoring and advising[65], and its final supplemental priority, effective May 13, 2026, added no new federal requirements on student data privacy, parental consent, or bias testing, citing existing laws and regulations and saying that safety and communication choices are best made at the state and local level[66]. The preemption effort follows the same pattern. Executive Order 14365 directs that the legislative recommendation for a federal framework not propose preempting otherwise lawful state AI laws relating to child safety protections[67]. The March 2026 White House framework recommends that Congress require age assurance and parental tools for AI platforms likely to be accessed by minors, and says a federal standard should not preempt state laws of general applicability that protect children[68].

California has moved fastest on companion chatbots. SB 243, signed in October 2025 and in effect since January 1, 2026, requires operators to remind minors that they are talking to an AI, to maintain a protocol for suicidal ideation and self-harm that includes crisis referrals, and to report annually on the connection between chatbot use and suicidal ideation, and it gives families a private right of action[69]. On the same day, Governor Newsom vetoed AB 1064, writing that its broad restrictions on conversational AI tools might unintentionally lead to a total ban on their use by minors[70].

SB 1119, known as Adam's Law, was signed on September 10, 2026[71,72]. A law-firm summary describes it as amending California's existing companion chatbot law to replace the requirements that applied to operators who know a user is a minor[71]. Operators that allow child users must document a risk assessment before launching a new or substantially modified chatbot, maintain a crisis protocol, set protective defaults that only a linked parent or guardian can change (including caps of one hour of continuous use and two hours of daily use), give periodic reminders that the child is interacting with AI, and take reasonable steps to prevent listed conduct toward children, such as encouraging self-harm or expressing romantic interest[71]. All operators must determine user age by specified methods or apply the child protections to all users[71].

An initial independent audit is due by January 1, 2029 (or before first public availability, if later) and audits recur every two years, with operators under $500 million in prior-year gross revenue exempt from that requirement until January 1, 2032[71]. Public prosecutors may seek civil penalties of up to $5,000 per affected child for each negligent violation and up to $15,000 for each intentional one[71]. The law takes effect on January 1, 2027, most of its duties become operative on July 1, 2027, and certain educational and workplace chatbots are excluded[71].

Federal scrutiny of companion chatbots has so far taken the form of a study rather than an enforcement action. In September 2025, the Federal Trade Commission issued orders under Section 6(b) to seven companies, including Alphabet, Meta, OpenAI, and Snap, seeking information on how they measure, test, and monitor chatbots for negative impacts and how

they mitigate harm to children and teens[73].

On student data, California's AB 1159 was also signed on September 10, 2026[72]. It amends the state's K-12 and early-learning student privacy laws and creates a parallel statute for higher education[74]. Operators may not knowingly use covered student information gathered through their services to train a generative AI system or to develop an AI system, and, subject to exceptions, the law restricts selling student information, using it for targeted advertising, profiling students, and processing certain sensitive data[74]. A private right of action allows recovery of the greater of actual damages or $500 per plaintiff per violation, after the operator receives at least 60 days' written notice[74]. The preschool and K-12 amendments take effect on January 1, 2027, and the higher-education provisions become operative on July 1, 2027[74]. For school districts and youth-serving nonprofits, these measures make student data and chatbots used with young people the main California compliance questions for 2027.

Enterprise Compliance Posture, Market Impact, and Industry Self-Regulation

The operationalization of divergent regulatory frameworks across 2025 and 2026 altered enterprise software engineering, vendor risk management, and capital allocation. Commercial enterprises that previously operated without structured algorithmic oversight were forced to build formal AI governance architectures to access global markets.

Standard / Framework	Publishing Body / Authority	Regulatory Status	Core Enterprise Compliance Mandates
ISO/IEC 42001[75]	International Organization for Standardization (ISO)	Certifiable international industry standard	Comprehensive AI management system (AIMS); risk assessment, traceability, and lifecycle controls
GPAI Code of Practice[36]	European AI Office	Regulatory compliance benchmark	Standardized training data summaries; copyright policies; systemic risk mitigation protocols

NAIC Model Bulletin on AI[76]	National Association of Insurance Commissioners (U.S.)	Adopted by 27 states, DC, and Puerto Rico (Oct. 2026)	Algorithmic governance programs; continuous fairness and outcome testing in underwriting and claims
U.S. Model Risk Management guidance (replacing SR 11-7, April 2026) / PRA SS1/23[77,78]	Federal Reserve, OCC, and FDIC (U.S.) / Prudential Regulation Authority (UK)	Supervisory banking guidance	Model risk management (MRM); conceptual soundness, ongoing monitoring, and outcome analysis (2026 U.S. guidance excludes generative and agentic AI)
C2PA Technical Specification[63]	Coalition for Content Provenance and Authenticity	International open industry standard	Cryptographic binding of provenance metadata; tamper-evident digital watermarking and content tracking
METI/MIC Guidelines v1.2[11]	Ministry of Economy, Trade and Industry / MIC (Japan)	Soft-law government guidance	Voluntary AI governance guidance; first definition of "AI agent"

To bridge the gap between fragmented national laws and commercial operations, many organizations look to ISO/IEC 42001, the international standard for AI Management Systems[75]. Originally published in late 2023, the standard specifies requirements for establishing, implementing, maintaining, and continually improving an AI management system[75]. Because the standard is certifiable, organizations can use third-party ISO/IEC 42001 certification as a market-driven way to demonstrate risk governance, data lineage, and operational

documentation, and some buyers may request it during AI vendor onboarding[75].

In heavily regulated industries, existing oversight bodies integrated AI into established supervision models[76,77]. In the United States, the National Association of Insurance Commissioners (NAIC) *Model Bulletin on the Use of Artificial Intelligence Systems by Insurers* had been adopted by 27 states, the District of Columbia, and Puerto Rico as of October 8, 2026[76]. The bulletin expects insurers to maintain a written program for the responsible use of AI systems and makes their use of AI subject to regulatory inquiry and market conduct examination, including to verify that automated systems do not produce unfairly discriminatory outcomes[76].

In the United States, the Federal Reserve, the OCC, and the FDIC replaced the long-standing SR 11-7 model risk management guidance with revised guidance on April 17, 2026. The new guidance excludes generative and agentic AI from its scope, and the agencies plan to issue a request for information on AI[77].

The administrative complexity of meeting these overlapping standards may widen the compliance gap between enterprise hyperscalers and smaller technology providers. These obligations are likely to weigh more heavily on smaller firms: larger technology companies can maintain dedicated compliance teams to produce EU Annex IV technical documentation, complete Chinese algorithm filings, and appoint Korean domestic representatives, while mid-market businesses have fewer resources for the same tasks.

The scale of this challenge was highlighted in DSIT's *UK Business Data Survey 2026*, which surveyed 4,450 businesses between late 2025 and early 2026: 46% of AI-using businesses reported that they were unaware of any official regulatory guidance on AI, while only about 17% of AI-using businesses reported having an AI policy or guidelines[79]. This divergence suggests that while legal rules have matured across jurisdictions, substantive day-to-day compliance remains concentrated among major technology developers, with smaller deployers exposed to regulatory and legal liability.

Strategic Policy Outlook and Structural Conclusions

The evolution of artificial intelligence policy from 2025 through 2026 marks the consolidation of an era characterized by industrial realism, national security containment, and deep regulatory fragmentation. The early vision of a harmonized, global governance regime overseen by multilateral organizations has been replaced by regional frameworks designed to advance sovereign competitiveness.

Four structural dynamics have emerged that will shape the remainder of the decade:

First, AI policy has become integrated with physical energy, compute, and industrial policy. Across the United States, Europe, and Asia, sovereign standing in artificial intelligence is no longer evaluated solely by software breakthroughs or academic research, but by the physical capacity to construct, power, and protect gigawatt-scale data center infrastructure and

advanced semiconductor fabrication facilities. Executive actions streamlining energy permitting in the United States and public compute funding under the EU's InvestAI illustrate that compute infrastructure is now treated as strategic national capital[23,53].

Second, the structural divide between horizontal, precautionary regulation and decentralized, sector-driven oversight has solidified. As the European Union works through the complex operationalization of the AI Act and its Digital Omnibus revisions, Anglo-American jurisdictions have pursued a different model. The United States and the United Kingdom have largely avoided horizontal omnibus legislation, choosing instead to target concrete consumer harms—such as non-consensual synthetic intimate imagery through the TAKE IT DOWN Act—while relying on existing sectoral regulators to police industry-specific risks without creating new centralized administrative bodies[3,44].

Third, hardware export controls have become a de facto international regulatory perimeter for frontier AI. By licensing advanced chip exports to China, adjusting that policy as it did in January 2026, and designating PRC-linked entities, the United States has sought to set an external limit on adversary frontier capabilities[20,61]. This supply-chain dynamic has accelerated the bifurcation of global technology, compelling China to develop a parallel, domestic semiconductor manufacturing base and proprietary software frameworks.

Finally, the corporate risk environment has shifted from abstract liability to procedural compliance and data provenance. Rulings and guidance from intellectual property authorities, combined with statutory transparency mandates in Europe and East Asia, have established that commercial developers cannot claim proprietary copyright over unassisted machine generation, and that fair use for training turns on how the data was acquired and how the model's outputs affect the market for the original works[17–19].

As the implementation calendar approaches the 2027 and 2028 enforcement milestones for high-risk industrial systems in Europe, the sunset of South Korea's enforcement grace period, and ongoing federal-state preemption battles in the United States, enterprises operating in the digital economy must treat regulatory adaptability, automated provenance, and auditable risk governance as essential elements of long-term operational resilience.

What to Watch

- **November 16, 2026:** California agencies' recommendations on frontier-model oversight, including the feasibility of a kill switch, are due under the September executive order[33,34].
- **January 1, 2027:** Colorado's rewritten AI law applies to decisions made on or after this date[5], and South Korea's one-year grace period on fines is due to end that month[9].
- **January 1 and July 1, 2027:** California's AB 1159 (preschool and K-12 provisions) and SB 1119 take effect on January 1, most SB 1119 duties become operative on July 1, and AB 1159's higher-education provisions follow on July 1[71,74].
- **August 2, 2027:** EU member states must have operational AI regulatory sandboxes in place under the revised schedule[8].
- **December 2, 2027 and August 2, 2028:** Revised EU compliance deadlines for

standalone high-risk AI systems (Annex III) and for high-risk AI embedded in regulated products (Annex I), respectively[8].

- **Ongoing:** Whether Congress acts on the March 2026 White House legislative framework, which urges statutory preemption of state AI laws[27].

Scope and Method

This report centers on AI policy and regulatory developments from 2025 through October 2026 in the United States (federal and state), the European Union, the United Kingdom, South Korea, Japan, and China, along with multilateral and treaty efforts. Earlier measures, such as the 2024 EU AI Act, are included where they are needed for context. The focus is on binding law, executive action, and formal guidance, and the text notes where an instrument is voluntary or non-binding.

Statements of fact carry numbered citations that point to the Works cited. Primary sources (statutes, executive orders, regulations, and official government or agency releases) were preferred. Law-firm analyses and news reporting supplement them where they explain how a measure works in practice or where the primary text was not reviewed. Legal status and dates were checked against these sources as of October 2026. Several items are still developing, including California's executive-order study (recommendations due November 16, 2026), Colorado's rewritten AI law (effective January 1, 2027), California's SB 1119 and AB 1159 (effective January 1, 2027, with some provisions operative July 1, 2027), and implementation of the EU Digital Omnibus on AI. This report is policy analysis, not legal advice.

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